

The Four Risk Categories under the EU AI Act

The European Union Artificial Intelligence Act adopts a **risk-based approach** to AI regulation. The basic principle is simple: the higher the potential risk of an AI system to people's health, safety or fundamental rights, the stricter the legal requirements.

AI systems can broadly be divided into four categories: **unacceptable risk, high risk, limited or transparency risk, and minimal or no risk**. Each category is subject to a different level of regulation.

1. Unacceptable Risk: Prohibited AI Practices

The highest level is **unacceptable risk**. These AI practices are considered incompatible with fundamental rights and European values and are therefore prohibited.

The relevant rules are set out in **Article 5 of the AI Act**.

The main criterion is whether the AI practice creates a particularly serious threat to human dignity, autonomy, equality or other fundamental rights. The Act specifically identifies practices involving manipulation, exploitation, social control and certain forms of biometric surveillance.

Examples of prohibited practices include:

- AI systems using subliminal, manipulative or deceptive techniques that significantly impair a person's ability to make an informed decision and are likely to cause significant harm.
- AI systems exploiting vulnerabilities related to age, disability or specific social or economic situations in ways likely to cause significant harm.
- Certain forms of **social scoring**, where people are evaluated or classified on the basis of their behaviour or personal characteristics and subsequently receive unjustified or disproportionate detrimental treatment.
- Creating or expanding facial-recognition databases through untargeted scraping of facial images from the internet or CCTV footage.
- Certain uses of **emotion recognition in workplaces and educational institutions**.
- Certain biometric categorisation systems using particularly sensitive characteristics.
- Some uses of real-time remote biometric identification in publicly accessible spaces for law-enforcement purposes, subject to specific exceptions.

These applications are not merely regulated: when the conditions of Article 5 are met, their use is **prohibited in the European Union**.

2. High Risk

The second category consists of **high-risk AI systems**. Unlike prohibited AI practices, these systems may be used, but they are subject to extensive regulatory requirements because of their potential impact on health, safety or fundamental rights.

The classification rules are primarily contained in **Article 6**.

There are two main ways in which an AI system can qualify as high-risk.

First, under **Article 6(1)**, an AI system may be considered high-risk when it is a safety component of a regulated product, or is itself such a product, and the product is subject to a third-party conformity assessment under the EU legislation listed in Annex I. This can concern areas such as machinery, medical devices and other safety-regulated products.

Second, **Article 6(2)** refers to the specific applications listed in **Annex III**.

Annex III identifies important areas in which AI can significantly affect people's lives and fundamental rights. These include:

- **Biometrics:** for example, certain remote biometric identification and emotion-recognition systems.
- **Critical infrastructure:** AI used as a safety component in areas such as electricity, gas, water or transport infrastructure.
- **Education and vocational training:** AI used to determine admission to educational institutions, evaluate learning outcomes or significantly influence educational decisions.
- **Employment and worker management:** AI used to recruit candidates, filter CVs, evaluate applicants, make decisions affecting employment relationships or monitor worker performance.
- **Access to essential services:** for example, certain AI systems used to evaluate creditworthiness or eligibility for important public benefits and services.
- **Law enforcement:** certain AI applications used to assess individuals or evidence.
- **Migration, asylum and border control:** certain AI systems assisting authorities in evaluating applications or risks.
- **Administration of justice and democratic processes:** certain systems assisting judicial authorities or influencing electoral behaviour.

However, inclusion in Annex III does not automatically make every possible application high-risk. Under **Article 6(3)**, an Annex III system may not qualify as high-risk if it does

not pose a significant risk to health, safety or fundamental rights and does not materially influence decision-making. Examples include some narrow procedural, preparatory or supporting tasks. An Annex III system performing profiling of natural persons, however, is always considered high-risk.

High-risk systems are therefore **permitted but strongly regulated**. Providers must comply with requirements concerning areas such as risk management, data governance, technical documentation, record-keeping, transparency, human oversight, accuracy, robustness and cybersecurity.

3. Limited Risk or Transparency Risk

The third category is generally referred to as **limited risk** or **transparency risk**.

These systems do not normally present the same level of potential harm as high-risk systems, but their use can create specific risks of deception, confusion or manipulation. The main regulatory response is therefore **transparency** rather than prohibition or extensive conformity requirements.

A central criterion is whether individuals need additional information to understand that they are interacting with AI or encountering AI-generated content.

Examples include:

- **Chatbots and conversational AI systems:** in relevant circumstances, users must be informed that they are interacting with an AI system unless this is obvious from the context.
- **Deepfakes:** AI-generated or manipulated images, audio or video that resemble real persons, objects, places or events generally need to be disclosed as artificially generated or manipulated.
- Certain **AI-generated text** published to inform the public on matters of public interest.
- Certain emotion-recognition and biometric-categorisation systems that are legally permitted but require transparency towards the individuals exposed to them.

The philosophy is therefore different from high-risk regulation. These systems can generally be used without the extensive compliance framework imposed on high-risk AI, provided that the relevant transparency requirements are respected.

4. Minimal or No Risk

The final category covers **minimal-risk or no-risk AI systems**.

This is by far the broadest category in terms of ordinary AI applications. It includes systems that do not fall into the prohibited, high-risk or specific transparency categories.

Typical examples include:

- AI used in video games.
- Spam filters.
- AI-based recommendation or personalisation tools in many ordinary contexts.
- AI used to improve photographs or organise digital content.
- Inventory-management or other routine business-optimisation systems.
- Many everyday productivity applications using AI.

These systems are generally **not subject to additional mandatory requirements under the AI Act specifically because of their risk level**, although other European legislation, such as data-protection, consumer-protection or copyright law, may still apply.

Providers may also voluntarily adopt codes of conduct and apply some of the principles used for higher-risk systems.

Conclusion

The EU AI Act can therefore be understood as a regulatory pyramid.

At the top are **unacceptable-risk practices**, which are prohibited under **Article 5**.

Below them are **high-risk AI systems**, classified primarily according to **Article 6, Annex I and Annex III**, which remain permitted but are subject to strict obligations. **Limited-risk systems** are primarily subject to transparency requirements, while **minimal-risk systems** can generally be developed and used without additional risk-based obligations under the AI Act.

The key principle is proportionality: **regulation becomes stricter as the potential consequences of an AI system for individuals and society become more serious.**

This allows the European Union to protect fundamental rights and safety without imposing the same regulatory burden on every AI application.